

CAPITAL MARKETS

The Plaza at Normandy Sale: A 1031 Buyer Paid Full Basis for a 2024 Build

The transaction shows that grocery-anchored retail liquidity is strongest for assets with no lease-up risk and a recent cost basis.

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A source-grounded Light Tower Insight. The complete note follows.

The Plaza at Normandy sits at the intersection of Normandy Boulevard and Chaffee Road South in Jacksonville. It was built in 2024. It is 58,691 square feet. It is fully leased to Publix, a Publix Liquor Store, Xtreme Wings, Hair Cuttery, Nail Art Studio & Spa, The UPS Store, and AT&T Wireless. The outparcels for McDonald's and Wawa were not part of the sale.

None of those facts explain why the \$20.7 million transaction matters. The revealing fact is this: the buyer was a 1031 exchange buyer, and the seller was the developer, Wagner Property Group, who built the center last year.

A 1031 exchange buyer is not a yield-maximizing institutional allocator. It is a capital owner who must deploy proceeds from a prior sale into a like-kind asset within 180 days or face a tax bill. That constraint shapes the entire transaction. The buyer is not shopping for a discount. It is shopping for a basis it can defend to its accountant and its lender. The seller, Wagner Property Group, is not selling because the asset underperformed. It is selling because the development cycle is complete: the center is stabilized, the leases are in place, and the construction risk has been converted into operating cash flow. The developer's job is to recycle capital into the next deal. The 1031 buyer's job is to park capital in a defensible asset.

The price per square foot comes to roughly \$353. That is not a distressed number. It is not a bargain. It is a full-basis trade for a newly built, fully leased, grocery-anchored center in a growing submarket. The buyer paid for certainty: no lease-up risk, no deferred maintenance, no tenant credit questions. Publix is the anchor. Publix is investment grade. The rest of the tenant roster is service-oriented and local, but the credit story begins and ends with the grocer.

What does this reveal about capital, risk, and pricing? Three things.

First, grocery-anchored retail continues to command a liquidity premium in the 1031 channel. The buyer pool for these assets is not the same as the buyer pool for office or unanchored strip centers. It is narrower, more disciplined, and more dependent on the tax code. That creates a structural bid for

assets that meet the 1031 criteria: stabilized, well-located, and anchored by a credit tenant. The bid is not elastic. It does not expand when cap rates rise. It expands only when more 1031 sellers enter the market, which is itself a function of prior transaction volume.

Second, the transaction confirms that development risk has been fully priced out of this asset. Wagner Property Group built the center, leased it, and sold it within roughly 18 months. That is a fast cycle. The developer captured the spread between construction cost and stabilized value, then moved on. The 1031 buyer accepted that spread as the entry basis. There is no value-add thesis. There is no repositioning plan. The buyer is underwriting the existing cash flow and the long-term demographic tailwind of the Jacksonville MSA, which has been one of the faster-growing metros in the Southeast.

Third, the sale tests the market's willingness to pay for new supply in a submarket that is still absorbing. Jacksonville has seen significant multifamily and industrial development. Retail development has been more measured, but new grocery-anchored centers are not rare. The fact that this asset traded at a full basis, with no discount for being a new entrant in a competitive leasing environment, suggests that lenders and buyers are treating the Publix covenant as a substitute for market maturity. The grocer's site selection process is itself a form of underwriting. If Publix committed to the location, the logic goes, the demographics support the rent.

Whose constraint changed? The seller's. Wagner Property Group had a time-limited window to monetize the development spread before the asset became "aged" in the eyes of a 1031 buyer. A two-year-old center is still new. A five-year-old center is used. The buyer's constraint is the 1031 clock, but that clock is always ticking. The seller's constraint is the market's willingness to pay a premium for newness. That premium erodes with each passing lease year.

What should the market test next? The next comparable transaction in the same submarket. If a second 1031 buyer pays a similar basis for a similar asset, the pricing floor is confirmed. If the next buyer demands a discount, the premium for newness is narrowing. Either way, the signal is in the basis, not the headline.

The Plaza at Normandy is not a bet on rent growth. It is a bet on capital preservation. The 1031 buyer

is not trying to get rich. It is trying to stay rich, and stay tax-deferred. That is a different kind of demand, but it is real demand, and it is setting the price.

SOURCES

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<https://rebusinessonline.com/tscg-arranges-20-7m-sale-of-publix-anchored-shopping-center-in-jacksonville/>

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